2027 Customer Retention, Growth & Cost Efficiency Proposal

Prepared for the Owner of a pool and spa service company · Prepared by Arturo Alvarez, Junior Data Analyst
Company details have been anonymized for this portfolio version.

Purpose and decision requested

This proposal identifies practical, data-informed ways to strengthen customer retention, attract new customers, and reduce supply costs for the company in 2027.

Decision requested: approval to begin Phase 1 (define questions and review available data), plus access to the customer, cancellation, and supply records listed under "What I need to begin." No spending is required to start.

Proposed areas of research

The eight areas fall into three themes: keeping current customers, winning new ones, and controlling supply costs.

A. Retention

1. Understand why customers leave. Review customer records in the current Excel/Google Sheets files and, where appropriate, customer feedback to find common reasons for cancellation. Factors to test include pricing, service quality, communication, reliability, and competitor offers. These are hypotheses to test, not assumptions. Seasonal pauses are already tracked separately and will stay excluded from cancellation counts.

2. Evaluate current retention practices. Document what happens when a customer raises a concern or considers cancelling: resolving a service issue, adjusting the service arrangement, offering an incentive, or following up. Assess available evidence of how each approach turned out.

3. Improve the customer satisfaction survey. Review current questions for clarity, relevance, and length. Recommend changes that make it easier to report concerns about service quality, communication, reliability, and value. Promote the survey at appropriate touchpoints to raise response rates.

4. Learn from cancellations and win back former customers. Invite cancelling customers to complete a short, respectful exit survey and categorize the reasons they give. Where the customer has given permission to be contacted, follow up, listen to concerns, address objections honestly, and offer a relevant option when one exists. Track responses, objections, returns, and costs to judge whether win-back is worthwhile.

B. Growth

5. Explore customer loyalty and engagement. Identify reasonable ways to encourage satisfied customers to stay and to consider relevant additional services. Evaluate each proposed benefit for customer value, operational practicality, and margin impact.

6. Assess a customer referral program. Evaluate whether referrals could generate profitable new business. A reward, such as a service credit, would be paid only after the referred customer signs up and meets defined eligibility criteria. Estimate cost per acquired customer and compare it with that customer's expected contribution.

7. Evaluate employee incentives. Explore whether a simple, fair incentive could encourage employees to support customer satisfaction, flag service concerns, or generate qualified referrals. Rules must reward meaningful outcomes and avoid pressuring customers or selling unnecessary services. When a customer and an employee both contribute to one referral, the rules will define who receives credit.

C. Operations and cost efficiency

8. Inventory control and purchasing cost reduction. Build a simple Excel inventory log that records supplies on hand, quantities assigned to each service vehicle, items used, and purchases made. Before ordering, the team would check each vehicle's recorded stock against agreed minimum levels to avoid duplicate or unnecessary purchases.

The workbook will include a structured inventory table and PivotTable summaries by item, vehicle, and category, plus purchase and usage trends. The PivotTables summarize the log; they do not replace it. The system depends on two things to confirm before launch: who sets and owns the minimum stock levels, and how often each vehicle's stock is physically counted to measure the difference between recorded and actual stock.

Proposed approach and timeline

The work runs in five phases; durations will be confirmed with the Owner before Phase 1 starts.

Phase	What happens	Est. duration	Time needed from others
1. Define the questions	Agree on business questions, review period, and what success means	[to confirm]	[to confirm]
2. Review available data	Confirm which customer, cancellation, service, pricing, revenue, and supply records exist in Excel/Google Sheets and may be used	[to confirm]	[to confirm]
3. Organize and analyze	Clean and categorize data, calculate baseline measures, look for patterns without treating correlation as causation	[to confirm]	[to confirm]
4. Develop recommendations	Compare actions by expected benefit, cost, effort, and risk	[to confirm]	[to confirm]
5. Pilot and measure	If approved, test one or two ideas on a limited scale	[to confirm]	[to confirm]

How pilots will be judged: each pilot is compared with a defined baseline, such as the same months of the previous year or customers not included in the pilot. Because customer counts are small, results will be reported with that limitation noted, and a pilot may need to run longer before conclusions are drawn.

Initial metrics

Each metric has a fixed formula so results can be compared from one period to the next; seasonal pauses are excluded from every cancellation measure.

Metric	Formula	What it shows
Cancellation rate	Cancellations in period ÷ active customers at start of period	Share of customers lost
Retention rate	(Active at end – new customers in period) ÷ active at start	Share of starting customers kept
Seasonal pauses	Count of customers paused in period (tracked separately)	Winter closures, not churn
New customers acquired	Count of new customers, with referral source when recorded	Growth from all channels
Referral conversion	Referred customers who sign up ÷ qualified referrals	How well referrals turn into business
Contribution per customer	Revenue – direct service costs, per customer	Profitability, where costs are available
Retention strategy outcomes	Customers kept ÷ customers offered each approach	Which retention actions work, interpreted in context
Supply spending	Total purchases by item, vehicle, and month	Where supply money goes
Inventory variance	Recorded stock – counted stock, per vehicle and item	Accuracy of the inventory log
Survey response rate	Completed surveys ÷ surveys sent	Customer willingness to give feedback
Exit survey themes	Share of exit responses by main reason	Most common reasons for leaving
Win-back rate	Former customers who return ÷ former customers contacted	Whether win-back outreach pays off

Expected deliverables

- A summary of the main cancellation patterns supported by available data.
- An overview of current retention practices and opportunities to improve them.
- Recommendations for the satisfaction survey, an exit-survey process, and a respectful win-back workflow.
- A feasibility assessment for customer referrals and employee incentives.
- A basic Excel inventory workbook with a vehicle-level stock log and PivotTable summaries.
- Prioritized recommendations with estimated costs, potential benefits, and measures of success.
- A pilot plan for approved initiatives, with results reviewed before scaling.
- A summary dashboard of the metrics above (an illustrative sample has already been prepared).

What I need to begin

With approval, I would first confirm which records exist and who can authorize access:

- Customer list and service history (Excel/Google Sheets)
- Cancellation records and notes, including the separate seasonal-pause log
- Any records of retention offers or referrals
- Current satisfaction survey questions and past responses
- Supply purchase records and current vehicle stock

Customer information will be handled only as authorized and used only for this business purpose.

Closing

My goal is to help the company make better-informed decisions about retention, growth, and costs. Rather than committing to a growth percentage before reviewing the baseline, I propose measuring where we stand first, then testing the most promising ideas and tracking their impact on retention, acquisition, and profitability.

Respectfully submitted,

Arturo Alvarez
Junior Data Analyst